EG PRACTICE LETTER: Dispatch from Paris—EU gearing up for a tougher China stance

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PRACTICE LETTER

14 Jul 2026 02:30 EDT

Dispatch from Paris—EU gearing up for a tougher China stance

This is the latest in a series of periodic letters to clients in which Eurasia Group's practices present their views on forthcoming political and macro developments for their regions or sectors.

After the G7 in Evian on 15–17 June and the European leaders' meeting on 18–19 June, it is clear that the EU debate over China is hardening rapidly. This is largely driven by the shift in Berlin, with German Chancellor Friedrich Merz publicly raising the issue of China's undervalued exchange rate and currency manipulation after both the G7 and European Council—the first time Germany has been so forthright.

The shift reflects the nature of the Chinese challenge—systemic, affecting every member state and an expanding range of sectors, and worsening, with trade deficits and job losses accumulating, particularly in Germany. It has also been driven by China's unwillingness to acknowledge the problem.

According to senior French officials, China's trade minister Wang Wentao did, for the first time, acknowledge the issue of global imbalances when he met EU Trade Commissioner Maros Sefcovic on 29 June. Wang also offered to improve EU access to the Chinese market, and the two sides have established a bilateral trade and investment committee to pursue these discussions.

However, while Sefcovic made clear to Wang that the mood among European leaders has changed, senior EU officials do not believe China will take meaningful steps to address their concerns. As one senior French official puts it: "The Chinese model won't change, but the EU response to it will." That response will have two parallel tracks.

The first is the development of a new instrument, which some senior officials are describing as the EU's Section 301. However, this will take time. The Commission will only present a draft legislative proposal in the third quarter, most likely after European Commission President Ursula von der Leyen's State of the Union speech in mid-September. Negotiations between the member states and the European Parliament will then take at least 18 months.

Because the new instrument will take years to adopt—with first use unlikely before 2028—the second track will focus on deploying the EU's existing toolbox more aggressively. The aim is to show meaningful action before EU leaders next meet on 15 October.

Track 1—the EU 301

As the Commission works up its proposal, informal consultations between Brussels and national capitals are taking place on its shape. The new tool looks likely to be built around three pillars: overdependencies; subsidies and currency manipulation; and solidarity.

The first pillar aims to give the EU the capacity to use trade defense measures to encourage diversification where key sectors have become heavily dependent on a single country or provider—for example, lithium batteries. The Commission is currently mapping EU overdependencies on a sector-by-sector basis. The second pillar would go a step further, protecting sectors where those overdependencies are driven or exacerbated by documented subsidies and/or currency manipulation.

The third pillar would be a solidarity component to mutualize the costs of retaliation from Beijing. Senior officials recognize member states will be targeted differently, so a fiscal cushion will be needed to manage the fallout. Work is also underway to map what senior French officials are calling "reverse dependencies"—so the EU understands where it has leverage if Beijing retaliates. "We have tools. Steel, aviation. They can't produce a plane without European help."

Some senior officials describe the instrument as a European version of the US's Section 301, allowing the EU to target entire sectors rather than individual products. They also argue that, because China did not retaliate against Section 301 tariffs, it would be harder for Beijing to do so against the EU. The instrument is also intended to be country-agnostic, reducing China's ability to claim it is being unfairly singled out. Some US digital service providers could, in principle, also fall within its scope. However, while the EU might believe China won't retaliate against a 301-like action, our assessment is different, unless its application is truly global (see Eurasia Group Note—EG China, EU: Trade confrontation will escalate despite managed pause , 2 July 2026).

Track 2—the near term

With the new instrument still some way off, the more immediate focus is on making much more aggressive use of the EU's existing trade toolbox.

The EU adopted new safeguards on steel on 1 July. From 1 January, a €5 customs duty will also apply to small parcels, replacing the de minimis rule that allowed goods worth less than €150 to enter the single market duty free. Senior officials hope this will slow the avalanche of low-value imports from China.

But the higher end of the supply chain remains the greater concern. Chinese firms are increasingly outcompeting European industry across numerous sectors, including chemicals, autos, robotics, recycled plastics and even nuclear power construction. In aviation, space, life sciences, and pharmaceuticals, EU firms still retain an advantage—but officials fear it will erode quickly given Beijing's strategic objective of reducing its own dependencies through state-led industrial policy.

There is also a growing belief that the safeguards adopted on Chinese electric vehicles in 2024 were too narrowly drawn. While imports of battery EVs have fallen, they have increasingly been replaced by plug-in hybrids. "There is a list of sectors and specific cases where the Commission knows we need to see an immediate stepping up," says one senior French official. "We need to show China we are serious."

Is member state unity the problem, or Brussels?

On EU-China relations, the conventional wisdom is that the European Commission is the China hawk while the member states are largely doves. There is some truth to this, but the reality is more complex.

Greece and Spain remain among the weaker links, although Spanish Prime Minister Pedro Sanchez may find it harder to maintain a pro-China position ahead of next year’s election. Italian Prime Minister Giorgia Meloni recognizes the China shock but worries it may already be too late for Europe to respond effectively and fears Chinese retaliation. However, across Central and Eastern Europe, governments have tilted sharply away from Beijing because of its support for Russia. Germany is hardening its position, while even Hungary’s traditionally pro-China stance is evolving under Prime Minister Peter Magyar (see Eurasia Group note—EG Hungary: Magyar's cautious economic reset could advance the EU's China de-risking , 13 July 2026).

The Commission is also less hawkish than many assume. Its leadership remains instinctively committed to free trade, while others worry about provoking retaliation. Many member states also believe Brussels has been too cautious in exercising the exclusive trade powers it enjoys. In practice, the Commission almost always checks whether it can assemble a qualified majority before bringing forward measures, reluctant to expose itself as an emperor with no clothes.

As the new instrument is developed, France and other hawkish member states want to reverse that logic. Rather than requiring the Commission to build support before acting, they favor allowing Brussels to impose protective measures whenever the evidence base justifies them unless a qualified majority actively opposes the move. The aim is to allow the EU to respond more quickly and make it harder for Beijing to divide member states.

This proposal is also designed to avoid repeating the experience of the Anti-Coercion Instrument. Introduced in October 2023 with considerable fanfare, it has never been used because it is widely seen as the nuclear option, and the Commission has been reluctant to invoke it for fear of failing to secure a qualified majority.

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Whether the new instrument ultimately resembles a European version of Section 301 or evolves into something narrower, the direction of travel is clear. Few senior officials believe China will make the structural changes the EU is seeking. Instead, Europe will have to adapt its own economic practices—using trade defense instruments more readily, intervening earlier where strategic sectors are threatened, and reducing dependencies that were previously accepted in the name of open trade. The legislation itself remains some way off, but the political shift is already under way.

Happy to discuss,

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X-WF-DocID wfpub_eurasia_26838_7b887589